

The complaint

Mr H is unhappy with the policy excess Tesco Underwriting Limited ("Tesco") applied to his claim before making settlement. Tesco were providing a home insurance policy.

What happened

Mr H identified a leak in his ceiling, so he made a claim to his home emergency insurer to fix the leak. The home emergency insurer did some tests to identify where the leak was coming from and he needed to access the leak, by cutting through part of the ceiling. He fixed the leak, which was his responsibility under the home emergency contract he had.

Following the work, there was damage to the ceiling and walls that needed repairing, so Mr H made a claim to Tesco to get the repair completed under the trace and access part of his home insurance policy.

Tesco agreed to settle the claim, but it did so under the escape of water section of the policy, rather than the trace and access part of the policy, which resulted in a higher excess payment for Mr H of £250. Mr H thinks this is unfair as the work that was completed was all about repairing the damage caused by the home emergency contractor tracing and accessing the leak.

Tesco said *"Following a review of your claim, I can confirm that you reported an escape of water incident on 31/12/2025, after noticing staining on your kitchen ceiling. During your initial conversation with us, it was explained that your policy provides cover for trace and access and any resulting water damage, but not for the repair of the pipe itself, as this falls under your Home Emergency cover."*

You subsequently submitted quotes for decorating, trace and access, and plastering works. You later contacted us to express concerns regarding the level of excess applied to your claim. We understand your position; however, we must clarify that the claim cannot be processed solely under trace and access. This is because the damage extends beyond locating the leak and includes resulting water damage, this falls under the Escape of Water peril. As such, the standard excess for this type of claim applies".

Our investigator decided not to uphold the complaint. He said there was staining and cracking evident before the trace and access work took place, so he thought Tesco was fair applying the escape of water excess payment to the claim. Mr H disagreed, so the case has been referred to an ombudsman.

My provisional decision

I made a provisional decision on this on 23 March 2026. I said:

I appreciate Tesco's approach on this claim; I think it was likely there was some staining on the ceiling before the trace and access work commenced. However, I'm not persuaded the approach taken by Tesco provides the fairest outcome, I think it would be more reasonable to only apply the trace and access excess on this claim. So, I intend to uphold this complaint.

I think Mr H likely raised his claim with his emergency provider as soon as he noticed the leak, so I think there would've been some leaking but I don't think there would've been considerable damage at this point. I've viewed the photographs of the ceiling after part of it was cut out to trace and access the leak. The photographs suggest the ceiling was still in

good condition, as there are no frayed edges as if the water had leaked and caused widespread damage. It looked contained to a small area (the same area where the trace and access damage was).

Settling the claim under the trace and access section of the policy or escape of water, would've resulted in the same settlement costs – the repair work would've been exactly the same.

Mr H didn't have to ask Tesco to settle the escape of water claim, he would've been in his rights to just ask for the trace and access work to be covered. It doesn't matter as the result of any repair would've been the same. Therefore, I think it is fairer and more pragmatic for Tesco to settle the claim as a trace and access claim. By completing that work Tesco would need to have settled the work to repair the plasterboard, re-plaster and decorate anyway. Therefore, I intend that Tesco pay Mr H a further £250 in settlement of the claim, recognising the lower excess payment.

Responses to my provisional decision

Tesco didn't say whether it accepted my decision, but it confirmed it had no new information to provide.

Mr H didn't say whether he accepted my decision, but he asked for confirmation of the settlement amount that would be provided by Tesco.

What I've decided – and why

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

Given neither party have provided any new information, I see no reason to change my provisional decision.

In respect to the settlement, the final response letter from Tesco said *"after careful consideration, the settlement amount remains at £280, net of the escape of water excess, which is £350 compulsory excess plus the £200 voluntary excess totalling £550"*.

So, adding back the excess that was previous deducted (£550) would make the gross settlement £830, so Mr H should expect a net settlement after my decision of £830 less £300, so £530.

In my decision, I had assumed the net settlement had already been paid, so I asked Tesco to repay part of the excess. However, if the settlement hasn't yet been paid, Tesco need to make a net cash settlement of £530.

My final decision

My final decision is that I uphold this complaint. I require Tesco Underwriting Limited pay Mr H £250 to refund part of his excess costs. Or if no settlement has yet been provided, Tesco should pay a net cash settlement of £530.

Under the rules of the Financial Ombudsman Service, I'm required to ask Mr H to accept or reject my decision before 28 April 2026.

Pete Averill

Ombudsman